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The LuraTech logo features the word 'LuraTech' in a large, light gray, sans-serif font. A large, stylized, light gray 'L' is positioned behind the text, extending from the top left towards the bottom right.

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Annual Report and Financial Statements 2006

NOTICE OF THE ANNUAL GENERAL MEETING

TO ALL SHAREHOLDERS

NOTICE is hereby given of the 2007 Annual General Meeting to be held at the Grand Regency Hotel, Crystal Ballroom, Nairobi on Tuesday, 12th June 2007 at 10.00 a.m.

AGENDA

Ordinary Business

1. To read the Notice convening the meeting.
2. To approve the minutes of the previous Annual General Meeting held on 8th June 2006.
3. To receive, consider and adopt the Balance Sheet and Accounts for the year ended 31st December 2006 together with the Reports thereon of the Directors and Auditors.
4. To approve the Directors Remuneration as provided in the accounts for the year ended 31st December 2006.
5. To approve the payment of a first and final dividend of Kshs. 1.00 per share in respect of the year ended 31st December 2006.
6. To re-elect Directors:
 - i) Mr. W. Murungi retires by rotation under the provisions of Article 95 of the Articles of Association and, being eligible, offers himself for re-election.
 - ii) Mr. Titus Mbathi, a Director who is over 70 years retires by rotation. Special notice has been received by the Company pursuant to section 142 of the Companies Act of the intention to propose the following resolution, in accordance with section 186(5) of the said Act, to be considered and if thought fit, passed by the members:

“That Mr. Titus Mbathi, a Director who is over 70 years be and is hereby re-elected to serve as Director of the Company until he next comes up for retirement by rotation under the Company's Articles of Association”.
7. To note that Deloitte & Touche continue in office as auditors in accordance with the provisions of Sec. 159 (2) of the Companies Act and to authorise the Directors to fix their remuneration for the ensuing financial year.

Special Business:

8. To consider and if thought fit to pass the following resolutions as Ordinary Resolutions:
 - 8.1 “That the authorised share capital be and is hereby increased from Kenya shillings five hundred and fifty million (Kshs. 550,000,000) divided into (110,000,000) ordinary shares of Kenya Shillings five (Kshs.5) each to Kenya Shillings six hundred and seventy five million (Kshs. 675,000,000) divided into one hundred and thirty five million (135,000,000) ordinary shares of Kenya Shillings five (Kshs.5) each by the creation of twenty five million (25,000,000) new ordinary shares of Kenya Shillings five (Kshs.5) each ranking in all respects pari passu with the existing ordinary shares in the capital of the Company.”

NOTICE OF THE ANNUAL GENERAL MEETING - Continued

8.2 “That subject to obtaining all required regulatory and other authorisations, consents and approvals and the Articles of Association of the Company, the Directors be and they are hereby authorized:-

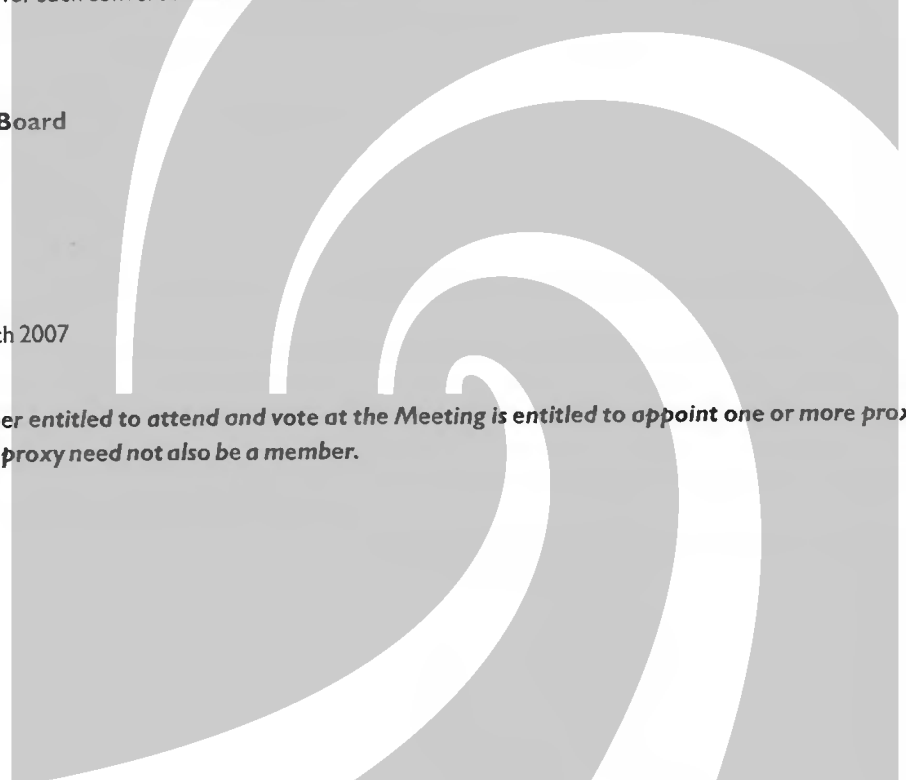
- (a) to exercise the borrowing powers of the Company to borrow money or raise capital or other finance (in any currency whatsoever) for the purpose of facilitating the expansion of the Company's operations and to create and issue unsecured convertible bonds or notes to any person lending such money or granting such capital or finance and
- (b) in their sole discretion and as they deem fit and at such premium as they may determine (but subject to such regulatory and other authorisations, consents, filings and approvals as are required by law), to allot and issue, by way of private transaction or offer, up to a maximum of 25,000,000 ordinary shares of Kshs. five (Kshs. 5.00) each in the capital of the Company, credited as fully paid and ranking pari passu in all respects with the existing ordinary shares of Kenya Shillings five (Kshs. 5.00) each by way of redemption and in exchange for such convertible bonds or notes.”

By Order of the Board

R.R. Vora
Secretary

Date: 27th March 2007

Note: *A member entitled to attend and vote at the Meeting is entitled to appoint one or more proxies to attend in his stead. A proxy need not also be a member.*



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DIRECTORS AND CORPORATE INFORMATION

Directors

Mr B Rogers	-	Chairman
Mr H J Paunrana	-	Vice-Chairman
Mr P H Paunrana	-	Managing Director
Mr S L Bhatia*	-	Deputy Managing Director
Mr T S Kumar*	-	Alternate to H J Paunrana
Mr W Murungi		
Mr P J Rune		
Mr T Mbathi		
Dr M Gondwe**		
Bamburi Cement Limited		

* Indian
** Zambian

Audit committee

Mr T Mbathi	-	Chairman
Mr W Murungi		
Mr B Rogers		

Nomination & Remuneration committee

Mr B Rogers	-	Chairman
Mr W Murungi		
Mr T Mbathi		

Secretary

Mr R R Vora
Marakwet House
P O Box 48405 00100
Nairobi

Registered Office

L R 209/74/7/2, Chiromo Road
Westlands
P O Box 41908 - 00100 Nairobi

Auditors

Deloitte & Touche
“Kirungii”, Ring Road, Westlands
P O Box 40092 - 00100 Nairobi

Bankers

Barclays Bank of Kenya Limited
Barclays Plaza Branch
P O Box 46661 - 00100 Nairobi

Bank of Africa Kenya Limited
Taifa Road
P O Box 69562 - 00400
Nairobi

Stanbic Bank Kenya Limited
Kenyatta Avenue
P O Box 30550 - 00100
Nairobi

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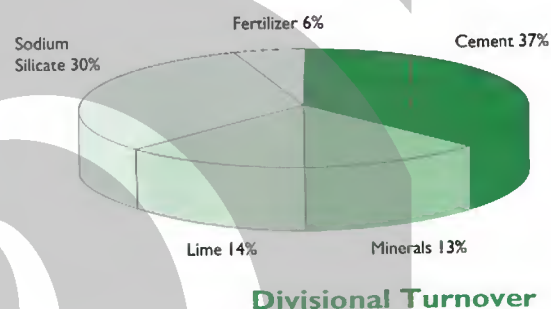
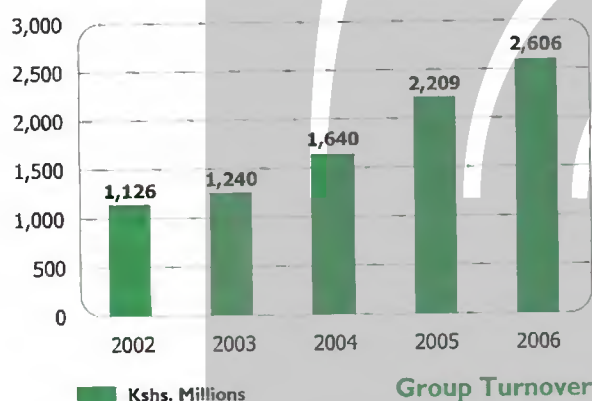
CHAIRMAN'S STATEMENT

It is my pleasure to present the Company's Annual Report for the year ended 31st December 2006. The Company started its second five year strategic plan (2006-2010) with a successful first year. In 2006, the Company's turnover grew by 18% from Kshs 2.2 billion in 2005 to Kshs 2.6 billion in 2006. Profit after tax grew by 32% from Kshs 195 million to Kshs 257 million.

The highlight of the year was the successful completion of three major investment projects. The state of art, dry process clinker plant has not only reduced the production cost significantly but has also doubled our cement capacity. This will now allow us to maintain market share in a growing economy where domestic cement consumption has doubled in the past six years. Our continuing investment in the silicate business has increased capacity by 50% this year thereby enabling us to increase our market share in the region. Finally, the Company also increased capacity in the industrial minerals division by 33% to service the growing regional markets.

mainly from Silicate and Lime Division, driven by growth in regional markets. The cement sales were at the same level as 2005, having been greatly affected in October-November 2006 due to heavy rains in Kaloleni area which destroyed the bridge connecting Kaloleni to the Mombasa-Nairobi highway. This vital road link was restored in early December and since then normal sales have resumed. The benefits from the investment into the new clinker plant will therefore be seen in the current year.

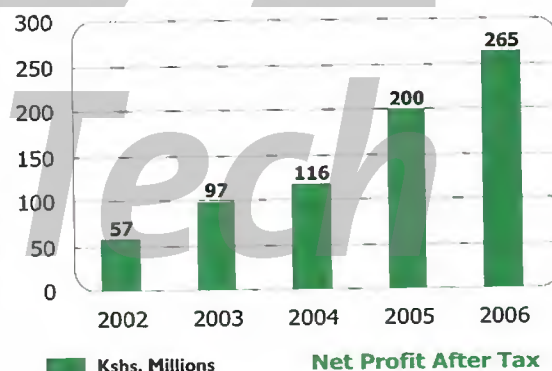
Diversification of products and markets is a key element of ARM's strategy. This was evident in 2006, when cement formed only 37% of the Company's consolidated turnover, sodium silicate 30% and other products 33%. Our foreign currency earnings from the regional markets also increased this year to 35% of total turnover.



Profit after tax and minority interest grew by 32% from Kshs. 195 million (2005) to Kshs. 257 million (2006). Although turnover grew by 18%, Profit after tax before minority interest grew by 33%, which was as per the Company's budget for 2006.

Over the last five years the Company's revenue grew at an annual compounded rate of 24%, whilst the Profit after tax has grown at a compounded rate of 50% per year. In the same period the operating margin has widened from 9% to 16% demonstrating improved internal efficiencies and lower unit cost of production.

For this outstanding achievement, on behalf of the Board, I congratulate, and record my appreciation for the contribution made by the Company's management team and the entire staff in the growth and shareholder's wealth creation in the Company



2006 ANNUAL RESULTS

During the year, turnover grew by 18% to Kshs. 2.6 billion as compared to the same period last year. The increase came

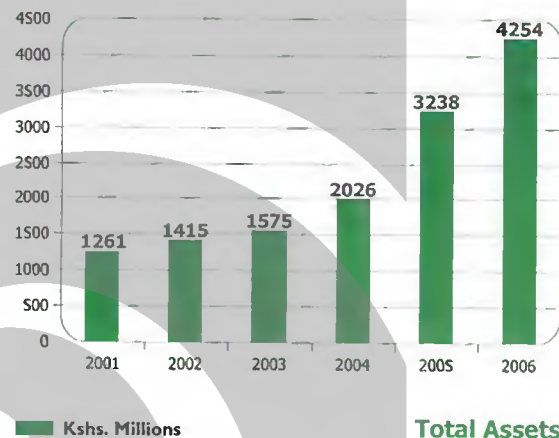
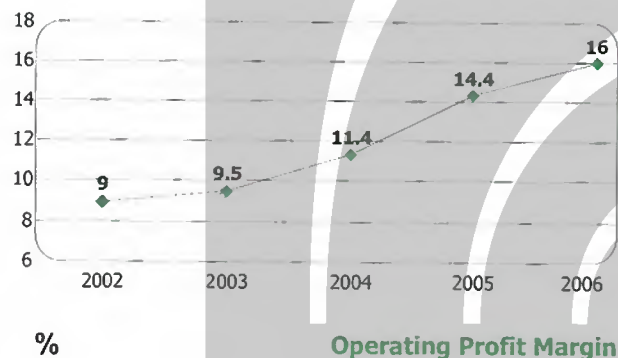
The increased profitability is attributed to improved operating efficiencies, higher capacity utilization and cost control measures implemented by the Company. This resulted in the

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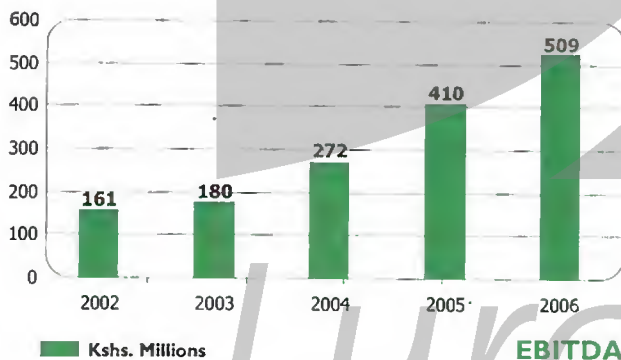
Annual Report and Financial Statements 2006

CHAIRMAN'S STATEMENT - Continued

operating margin improving to 16% this year as compared to 14% last year.

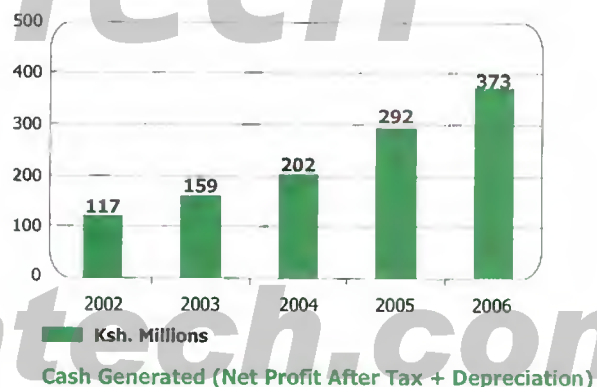
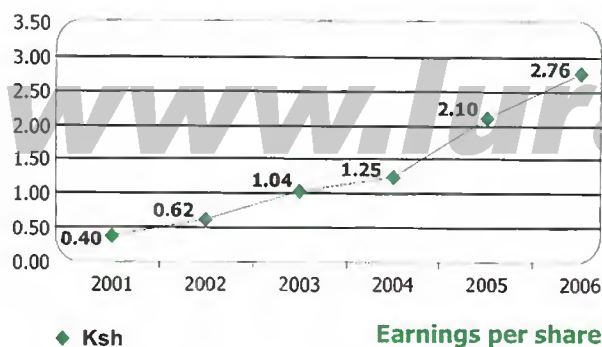


Earnings before interest, tax, depreciation and amortization (EBITDA) grew from 14% to 20%.



The net group borrowings as at end of 2006, increased to Kshs. 1.9 billion. During the last quarter of the year the net current assets were slightly negative at Kshs. 30 million. The Company has recognized this and plans to pay off a substantial part of its short term borrowings in 2007. The Company's debt coverage ratios continue to be adequate with debt to equity ratio being 1.37:1, and long term debt to capital employed being 1:1. Going forward in 2007, as the investments start generating increased cash flows, the ratios are likely to improve further. Total cash generated (profit after tax plus depreciation) grew by 28% from Kshs. 292 million (2005) to Kshs. 373 million (2006). The net worth of the Company increased from Kshs. 1.16 billion (2005) to Kshs. 1.32 billion (2006).

Consequently, earnings per share also increased by 31% from Kshs. 2.10 in 2005 to Kshs. 2.76 in 2006.



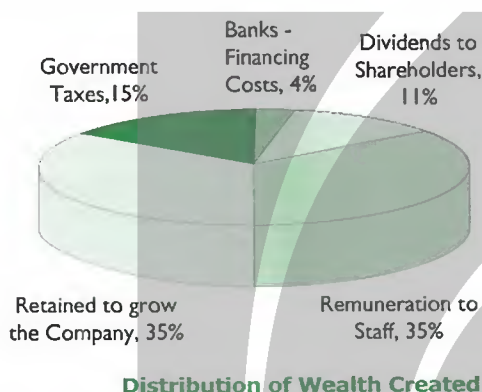
The Company continues to be an important creator of wealth in the Kenyan economy. It provides direct and indirect employment to a large number of people who are involved in its various operations at factories and distribution network in Kenya and various other countries in Africa. More than 50 industries use the Company's products as primary raw materials in the construction, manufacturing and agriculture sectors.

During the year, the total assets of the group grew from Kshs. 3.24 billion to Kshs. 4.3 billion as a result of the investments made in the clinker, silicate and industrial minerals plants. The investments were financed partly through internal generation and through borrowings.

CHAIRMAN'S STATEMENT - Continued

WEALTH CREATION

The net wealth creation was Kshs 813 million calculated as the difference between the turnover and the purchase of raw materials and services. 35% (Kshs 287 million) of the value added was distributed amongst the staff, 15% (Kshs. 123 million) to the Government in the form of Corporate Tax, 4% (Kshs. 29 million) to the providers of finance, 11% (Kshs. 93 million) to the shareholders and the balance 35% (Kshs. 281 million) was reinvested to grow the Company.



SUBSIDIARY COMPANIES

Our Tanzanian subsidiary, **ARM (Tanzania) Ltd** of which the Company owns 67% has completed its third full year of operations manufacturing lime and industrial minerals. The power and fuel situation improved and with the focus on generating internal efficiencies the turnover of this subsidiary increased by 28% to Kshs. 332 million. ARM (Tanzania) Ltd is now operating to capacity and further doubling of the Lime plant capacity is underway and targeted for completion by the end of 2007.

Our 100% owned South African subsidiary, **ARMSA (Pty) Limited**, South African also completed its second full year of operations. The Company turnover grew by 66% from Kshs. 129 million in 2005 to Kshs. 214 million in 2006.

Mavuno Fertilizers Limited which was set up as a 100% owned subsidiary of the Company to handle the fertilizer division will formally commence operation later in 2007. Sales in this division remained at Ksh 150 million in 2006 due to capacity constraints. However, further investments have been planned to double the plant capacity in 2007. The various blends of Mavuno fertilizer are now being used successfully on maize, wheat, vegetables, tea, coffee, sugar and tobacco.

The Company continues to collaborate with a number of research institutions, universities and district agriculture offices throughout the country with a view to strengthening its product range of balanced crop and soil specific fertilizers. This is in keeping with our corporate mission of providing locally manufactured cost effective fertilizers that increase crop yields and promote better farming and better land usage. The Company is particularly focusing on the small scale and subsistence farmers where significant increase in crop yields have been achieved by using Mavuno fertilizers.

As part of Company's ongoing regional diversification, two new subsidiaries **ARM (Zambia) Ltd** and **ARM (Botswana) Ltd** have been established. Preliminary work and study of opportunities is continuing in both countries.

ENVIRONMENT MANAGEMENT & QUALITY SYSTEMS

The Company's Cement & Lime Works at Kaloleni is certified for both ISO 9001:2000 for quality systems, and ISO 14001:2004 for environment management systems. The sodium silicate division too is ISO 9001:2000 certified for quality systems. The Company conducts regular staff training programs to continuously improve the quality management systems and to achieve international quality benchmarks.

The Company's environmental management extends well beyond its boundaries and into the communities it operates in. The Company regularly sponsors tree planting activities on a large scale throughout the country. This was recognized at the Total Eco Challenge 2006 where in the Company received the bronze award. At the World Environment Day Commemoration organized by the National Environment Management Authority (NEMA), the Company won the corporate category award for best environmental conservation practices in Kenya.

EMPLOYEE SHARE OWNERSHIP SCHEME

I am pleased to report that Capital Markets Authority approved the Company's ESOP scheme as well as its Trust Deed and Rules & Regulations in October 2006. Subsequently, the Company constituted a Trust for its ESOP Scheme with Mr. Palle Rune, Mr. Richard Omwela, Mr. Ramesh Vora and Mr. Pradeep Paunrana as its members. Deloitte & Touche were appointed as the Auditors for the Trust.

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CHAIRMAN'S STATEMENT - Continued

Presently, certificates for 6,055,000 share options have been issued through the ESOP scheme to the long serving staff of the Company in recognition of their efforts in the growth of the Company to date. These options will be exercisable not earlier than March 2009.

Recruiting and retaining human capital is the key to the Company's future growth, and therefore the Company intends to continue the ESOP scheme with annual allocation of options to qualified members of the staff.

CORPORATE SOCIAL RESPONSIBILITY

The Company has become a significant contributor to the development and welfare of schools, charitable institutions and communities in the areas where we have our principal operations.

During 2006, we completed the construction of a girl's hostel in Kajiado, and aided in construction of extra classrooms in over a dozen schools in Kaloleni and Athi River districts. The Company has also introduced a bursary assistance program to support the education of bright students and regularly donates prizes and trophies at various education and sporting events.

The Company is passionately involved in tree planting, not only at our own sites, but also at a national level. In April of 2006, the Company promoted a tree planting campaign in over a hundred schools, as well as in the national tree planting campaign with the National Environment Management Authority (NEMA). At Kaloleni, the Company has started a program to study and document indigenous tree species, and to propagate their seedlings for distribution in the community.

The Company supported the construction of an educational centre at the Ngong Forest Sanctuary in Nairobi, and we intend to continue long term association with this institution in its efforts to promote education and create awareness of environmental conservation, particularly amongst the younger generation of our society.

CREDIT RATING 2006

I am pleased to report that Global Credit Rating, South Africa has re-confirmed its rating of ARM at A1 for Short Term, indicating a high certainty of timely payments, excellent liquidity factors and with minor risk factors. The rating of A for Long Term indicates high credit quality, good protection but with small risk factors that are variable due to economic cycles.

	2002	2003	2004	2005	2006
Short Term	A2	A-1	A1	A1	A1
Long Term	A-	A	A	A	A

OUTLOOK FOR 2007

Demand for the Company's products in Kenya and in the region continues to be strong. In 2007 with the new capacities in place the Company expects a substantial growth in turnover and profits as compared to 2006. The Board of Directors of the Company expect political stability and sound economic management in Kenya as we approach the election this year.

DIVIDEND

The Board of Directors recommends a dividend payment of Kshs. 1.00 per share for the year 2006. Subject to the approval by the shareholders, the dividend shall be paid on or about 29th June 2007 to members on the register at the close of business on 29th May 2007. For this purpose, the register of members will remain closed between 30th May and 31st May 2007.

Brian Rogers
Chairman

REPORT OF THE DIRECTORS

The directors present their report together with the group audited financial statements for the year ended 31 December 2006.

ACTIVITIES

The principal activities of the group are the manufacture and sale of cement, mining and processing of industrial minerals and chemicals and trading in other building products.

RESULTS

	2006 Sh'000	2005 Sh'000
Profit before taxation	387,868	295,920
Taxation expense	(123,311)	(96,416)
Profit before minority interest	264,557	199,504
Minority interest	(7,495)	(4,380)
Net profit for the year attributable to the equity shareholders	257,062	195,124
Earnings per share	Sh 2.76	Sh 2.10

DIVIDENDS

The directors propose the payment of a first and final dividend of Sh 1.00 (2005 – Sh 0.75) per share totalling Sh 93,000,000 in respect of the year ended 31 December 2006 (2005 – Sh 69,750,000).

DIRECTORS

The present directors are shown on page 4.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with section 159 (2) of the Kenya Companies Act.

BY ORDER OF THE BOARD

R.R. Vora
Secretary
Nairobi

Date: 27th March 2007

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STATEMENT OF DIRECTORS RESPONSIBILITIES

The Kenya Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the Company as at the end of the financial year and of the operating results of the group for that year. It also requires the directors to ensure that the group and the Company keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the group and the Company. They are also responsible for safeguarding the assets of the group.

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenya Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the Company and of the operating results of the group. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the Company and its subsidiaries will not remain a going concern for at least the next twelve months from the date of this statement.

Brian Rogers
Chairman

Date: 27th March 2007

Pradeep H. Paunrana
Managing Director

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INDEPENDENT AUDITOR'S REPORT

to the members of Athi River Mining Limited

Deloitte.

Deloitte & Touche
Certified Public Accountants (Kenya)
 "Kirungii"
 Ring Road, Westlands
 P.O. Box 40092 - GPO 00100
 Nairobi, Kenya

Tel: + (254 - 20) 444 1344/05-12
 Fax: + (254 - 20) 444 8966
 Dropping Zone No. 92
 Email: admin@deloitte.co.ke

REPORT OF THE AUDITORS

We have audited the financial statements of Athi River Mining Limited set out on pages 12 to 37 which comprise the consolidated and Company balance sheets as at 31 December 2006, the consolidated income statement, consolidated and Company statement of changes in equity and consolidated cash flow statement for the year then ended, together with the summary of significant accounting policies and other explanatory notes, and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

The Company's directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the provisions of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances. Our responsibility is to express an opinion on these financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment and include an assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered internal controls relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by directors, as well as evaluating the overall presentation of the financial statements.

We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion:

- proper books of account have been kept by the Company and the Company's balance sheet is in agreement therewith;
- the financial statements give a true and fair view of the state of affairs of the Company and the group at 31 December 2006 and of the profit and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act.



Nairobi

27 March 2007

Audit, Tax, Consulting, Financial Advisory

Partners: D.M. Ndonye F.O. Alloo H. Gadhoke* D.C. Hodge*
 J.M. Kiarie M.M. Kisuu J.Nyang'aya S.O. Onyango J.W. Wangai * British

A member firm of
Deloitte Touche Tohmatsu

Celebrating 100 years in East Africa

Annual Report and Financial Statements 2006

CONSOLIDATED INCOME STATEMENT

for the year ended 31 December 2006

	Note	2006 Sh'000	2005 Sh'000
Turnover		2,605,032	2,208,724
Cost Of Sales		(1,677,879)	(1,468,327)
Gross Profit		927,153	740,397
Other Operating Income		869	15,169
Distribution Costs		(240,211)	(214,540)
Administrative Expenses		(265,895)	(217,374)
Other Operating Expenses		(4,780)	(5,562)
Operating Profit	4	417,136	318,090
Net Finance Costs	5	(29,268)	(22,170)
Profit Before Taxation		387,868	295,920
Taxation Charge	7	(123,311)	(96,416)
Profit For The Year		264,557	199,504
Attributable To:			
Equity Holders Of The Parent		257,062	195,124
Minority Interest	16	7,495	4,380
Profit For The Year		264,557	199,504
Earnings Per Share –basic And Diluted	9(a)	Sh 2.76	Sh 2.10
Dividends Per Share –proposed	9(b)	Sh 1.00	Sh 0.75

CONSOLIDATED BALANCE SHEET

as at 31 December 2006

	Note	2006 Sh'000	2005 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	10(a)	3,185,387	2,168,985
Operating lease prepayments	11	12,127	12,642
		3,197,514	2,181,627
Inventories	13	309,607	281,266
Trade and other receivables	14	635,680	473,584
Tax recoverable		150	-
Cash and bank balances		111,377	302,187
		1,056,814	1,057,037
Total assets		4,254,328	3,238,664
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	15	465,000	465,000
Share premium		241,477	241,477
Revaluation surplus		38,787	40,519
Revenue reserve		579,512	415,223
Equity attributable to equity holders of the parent		1,324,776	1,162,219
Minority interest	16	49,716	47,750
Total equity		1,374,492	1,209,969
Borrowings	17(a)	1,409,514	1,288,831
Deferred income taxes	18	336,244	201,963
Finance leases	19(a)	52,380	17,436
		1,798,138	1,508,230
Borrowings	17(a)	510,827	90,018
Finance leases	19(a)	24,822	12,389
Trade and other payables	20	537,540	388,769
Due to related parties	22(c)	6,452	1,116
Unclaimed dividends		2,057	553
Current tax payable		-	27,620
		1,081,698	520,465
Total equity and liabilities		4,254,328	3,238,664

The financial statements on pages 12 to 37 were approved by the board of directors on 27th March 2007 and were signed on its behalf by:

Brian Rogers
Chairman
Date: 27th March 2007

Pradeep H. Paunrana
Managing Director

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COMPANY BALANCE SHEET

as at 31 December 2006

	Note	2006 Sh'000	2005 Sh'000
ASSETS			
Non current assets			
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		1,798,138	1,508,230
Current liabilities			
Borrowings	17(a)	510,827	90,018
Finance leases	19(a)	24,822	12,389
Trade and other payables	20	537,540	388,769
Due to related parties	22(c)	6,452	1,116
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Current tax payable		-	27,620
		1,081,698	520,465
Total equity and liabilities		4,254,328	3,238,664

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Brian Rogers
Chairman
Date: 27th March 2007

Pradeep H. Paunrana
Managing Director

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2006

	Share capital Sh'000	Share premium Sh'000	Revaluation surplus Sh'000	Revenue reserve Sh'000	Attributable to equity holders of the parent Sh'000	Minority interest Sh'000	Total Sh'000
At 1 January 2005	465,000	241,477	42,251	237,460	986,188	53,039	1,039,227
Translation loss	-	-	-	(19,093)	(19,093)	(9,669)	(28,762)
Transfer of excess depreciation	-	-	(2,474)	2,474	-	-	-
Deferred tax on excess depreciation	-	-	742	(742)	-	-	-
Profit for the year	-	-	-	195,124	195,124	4,380	199,504
At 31 December 2005	465,000	241,477	40,519	415,223	1,162,219	47,750	1,209,969
At 1 January 2006	465,000	241,477	40,519	415,223	1,162,219	47,750	1,209,969
Translation loss	-	-	-	(24,755)	(24,755)	(5,529)	(30,284)
Transfer of excess depreciation	-	-	(2,474)	2,474	-	-	-
Deferred tax on excess depreciation	-	-	742	(742)	-	-	-
Profit for the year	-	-	-	257,062	257,062	7,495	264,557
Dividend paid – 2005	-	-	-	(69,750)	(69,750)	-	(69,750)
At 31 December 2006	465,000	241,477	38,787	579,512	1,324,776	49,716	1,374,492

The revaluation surplus relates to surpluses arising from the revaluation of property, plant and equipment and is not distributable.

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COMPANY STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2006

	Share capital Sh'000	Share premium Sh'000	Revaluation surplus Sh'000	Revenue reserve Sh'000	Total Sh'000
At 1 January 2005	465,000	241,477	42,251	235,974	984,702
Transfer of excess depreciation	-	-	(2,474)	2,474	-
Deferred tax on excess depreciation	-	-	742	(742)	-
Profit for the year	-	-	-	202,148	202,148
At 31 December 2005	465,000	241,477	40,519	439,854	1,186,850
At 1 January 2006	465,000	241,477	40,519	439,854	1,186,850
Transfer of excess depreciation	-	-	(2,474)	2,474	-
Deferred tax on excess depreciation	-	-	742	(742)	-
Profit for the year	-	-	-	260,885	260,885
Dividend paid - 2005	-	-	-	(69,750)	(69,750)
At 31 December 2006	465,000	241,477	38,787	632,721	1,377,985

The revaluation surplus relates to surpluses arising from the revaluation of property, plant and equipment and is not distributable.

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CONSOLIDATED CASH FLOW STATEMENT

for the year ended 31 December 2006

	Note	2006 Sh'000	2005 Sh'000
Operating activities			
Cash generated from operations	21(a)	452,226	326,179
Interest paid		(172,371)	(20,795)
Corporation tax paid		(27,770)	(56,636)
Net cash generated from operating activities		252,085	248,748
Investing activities			
Additions to property, plant and equipment	21(b)	(915,850)	(957,654)
Proceeds from disposal of property, plant and equipment		-	500
Net cash used in investing activities		(915,850)	(957,154)
Financing activities			
Finance lease payments		(17,887)	(12,966)
Borrowings received	21(c)	403,289	1,251,438
Repayment of amounts borrowed	21(c)	(40,668)	(160,026)
Dividends paid		(69,750)	-
Net cash generated from financing activities		274,984	1,078,446
(Decrease)/increase in cash and cash equivalents		(388,781)	370,040
Cash and cash equivalents 1 January		241,618	(128,422)
Cash and cash equivalents 31 December	21(d)	(147,163)	241,618

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NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2006

I ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted remain unchanged from the previous year.

Adoption of new and revised International Financial Reporting Standards (IFRS)

At the date of authorisation of these financial statements, the following Standards and Interpretations were in issue but not yet effective:

- IFRS 7 on Financial Instruments Disclosures
- IFRS 8 on Operating Segments
- IFRIC 8 Scope of IFRS 2
- IFRIC 9 Reassessment of Embedded Derivatives
- IFRIC 10 Interim Financial Reporting and Impairment

The adoption of these standards and interpretations, when effective, will have no material impact on the financial statements of the group.

Basis of accounting

The Company prepares its financial statements under the historical cost convention, modified to include the revaluation of certain assets.

Basis of consolidation

Subsidiary undertakings, being those companies in which the Group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and are no longer consolidated as from the date of disposal. All inter Company balances and unrealised surpluses and deficits on transactions with the subsidiary companies have been eliminated.

The consolidated financial statements incorporate the financial statements of the Company and its subsidiaries, ARM (Tanzania) Limited, Mavuno Fertilizer Limited and ARMSA (Pty) Limited, all made up to 31 December. Mavuno Fertilizer Limited did not operate in the year. Its operations were undertaken by Athi River Mining Limited.

Revenue recognition

Turnover is recognised upon delivery of goods and acceptance by customers and represents sales net of sales returns and Value Added Tax.

Taxation

The taxation charge represents the sum of the current tax charge and the deferred taxation charge for the year.

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred taxation is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred taxation.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the unused tax credits can be utilised.

NOTES TO THE FINANCIAL STATEMENTS - Continued

for the year ended 31 December 2006

I ACCOUNTING POLICIES (continued)

Property, plant and equipment

Property, plant and equipment are stated at cost or valuation less depreciation and any impairment losses. Increases in the carrying amounts of property, plant and equipment resulting from revaluation are credited to the revaluation surplus.

Basis of valuation:

Freehold land and buildings	-	Open market value
Other assets	-	Depreciated replacement cost

Depreciation

No depreciation is provided on freehold land.

Depreciation is calculated to write off the cost or valuation of other items of property, plant and equipment in equal annual instalments over their estimated useful lives. The annual rates in use are:

Buildings	2.5%
Heavy commercial vehicles and quarrying equipment	10%
Plant, machinery and equipment	5% to 15%
Motor vehicles	25%
Furniture and fittings	12.5%
Computer hardware	25%

Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation surplus to the revenue reserve.

Capital work in progress

Capital work in progress relates to property and plant under construction. Cost includes materials, direct labour and any other direct expenses incurred in respect of the project. The amounts are transferred to the appropriate property, plant and equipment categories once the project is completed and commissioned.

Intangible assets-computer software costs

Costs incurred on computer software are accounted for at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is calculated on a straight line basis over the estimated useful lives not exceeding a period of 5 years.

Investment in subsidiaries

The investments in subsidiaries are stated at their acquisition cost less any accumulated impairment losses in the Company's books. These are all eliminated on consolidation.

Inventories

Finished goods inventories are stated at the lower of cost and net realisable value. Cost comprises direct production costs, rents, royalties, labour and relevant transport costs. Work in progress comprises raw materials, direct labour, other direct costs and related production overheads.

Raw materials and other inventories are stated at the lower of purchase cost and net realisable value.

NOTES TO THE FINANCIAL STATEMENTS - Continued

for the year ended 31 December 2006

I ACCOUNTING POLICIES (continued)

Leases

Leases are classified as finance leases whenever the terms of the lease transfers substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Assets held under finance leases are capitalised at their fair value on the inception of the lease and depreciated over their estimated useful lives. The finance charges are allocated over the period of the lease so as to achieve a constant rate of interest over the remaining balance of the liability.

Rental payments in respect of operating leases are charged to the income statement in the year to which they relate.

Operating lease prepayments

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Cash and cash equivalents

For the purpose of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired, less advances from banks repayable within three months from the date of advance.

Foreign currencies

Foreign currency transactions are recorded on initial recognition in the reporting currency, by applying the exchange rate prevailing at the date of the transactions.

Monetary assets and monetary liabilities expressed in foreign currencies are translated into Kenya Shillings at the rates of exchange ruling at the balance sheet date.

Non monetary assets and non monetary liabilities which are carried in terms of historical cost denominated in foreign currencies are restated using the rate prevailing at the date of the transaction.

Non monetary assets and non monetary liabilities which are carried at fair values are reported using the exchange rates that existed when the fair values were determined.

Exchange differences arising on settlement of monetary items or on reporting the group's monetary items at rates different from those at which they were initially recorded in the year, or reported on the previous financial statements, are recognized on the income statement for the year.

Gains or losses on translation of investments in foreign subsidiaries are dealt with in the currency translation reserve.

Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in the income statement in the period in which they are incurred.

NOTES TO THE FINANCIAL STATEMENTS - Continued

for the year ended 31 December 2006

I ACCOUNTING POLICIES (continued)

Retirement benefit obligations

The group contributes to the statutory National Social Security Fund. The group's obligations under the schemes are determined by local statute and are currently limited to Sh 200 per employee in Kenya and 10% of the gross pay of each employee per month in Tanzania. The group's contributions are charged to the income statement in the year to which they relate. ARMSA does not contribute to any defined benefits scheme for its employees.

Provision for liabilities and charges

Employees' entitlements to annual leave are recognised when they accrue to employees. Provision is made for the estimated liability in respect of annual leave accrued on the balance sheet date.

Financial instruments

Financial assets

Financial assets are recognised initially at cost using settlement date accounting. Receivables originated by the group and held to maturity investments are subsequently measured at amortised cost while financial assets held for trading and available for sale are measured at fair value. Gains and losses are recognised in the income statement except for available for sale financial assets where gains and losses are recognised in equity. All financial assets are subject to review for impairment at the year end.

Financial liabilities

Financial liabilities are recognised initially at cost, and subsequently measured at amortised cost.

Impairment

At each balance sheet date, the group reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognised in the income statement whenever the carrying amount of the asset exceeds its recoverable amount.

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

2 Critical judgments in applying the entity's accounting policies

In the process of applying the entity's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgments are continually evaluated and are based on historical experience and other factors including expectations of future events that are believed to be reasonable under the circumstances. These are dealt with below:

- (i) Impairment of assets - at each balance sheet date, the group reviews the carrying amount of its assets to determine whether there is any indication that these assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of impairment (if any).
- (ii) Property, plant and equipment - Critical estimates are made by the directors in determining depreciation rates for property, plant and equipment.

NOTES TO THE FINANCIAL STATEMENTS - Continued

for the year ended 31 December 2006

3 Segment reporting

a) Primary segment information – Business segments

Segment results include revenue and expenses directly attributable to a segment.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire segment assets that are expected to be used during more than one period (property, plant and equipment).

The group is currently organised into two divisions. These divisions are the basis on which the group reports its primary segment information. The two divisions are:

- Cement and special products and
- Minerals and chemicals.

The table below shows the group's revenue, expenses, segment assets, segment liabilities, capital expenditure and depreciation analysed by primary segments.

	Cement and Special Products		Minerals and Chemicals		Total	
	2006 sh'000	2005 sh'000	2006 sh'000	2005 sh'000	2006 sh'000	2005 sh'000
Sales and other	1,110,742	1,104,410	1,495,159	1,119,483	2,605,901	2,223,893
Expenditure	958,930	981,324	1,259,103	946,649	2,218,033	1,927,973
Profit before taxation	151,812	123,086	236,056	172,834	387,868	295,920
Assets	2,769,508	1,889,472	1,484,820	1,315,456	4,254,328	3,204,928
Liabilities	2,099,290	1,526,490	780,546	502,205	2,879,836	2,028,695
Depreciation and amortisation	43,480	32,487	65,917	59,745	109,397	92,232
Capital expenditure	943,480	847,951	200,416	133,353	1,143,896	981,304

NOTES TO THE FINANCIAL STATEMENTS - Continued

for the year ended 31 December 2006

(b) Secondary segment information – Geographical segments

The group's revenues are derived from sales in the following geographical markets:

	2006 Sh'000	2005 Sh'000
Kenya	2,045,527	1,835,878
South Africa	213,627	128,652
Tanzania	346,747	259,363
	<u>2,605,901</u>	<u>2,223,893</u>

4 Operating profit

The operating profit is arrived at after charging/(crediting):

Depreciation	109,119	92,232
Amortisation	278	243
Operating lease rentals - property	3,013	3,000
Directors' emoluments: - Fees	2,390	3,336
- Other emoluments	50,809	27,792
Staff costs (note 6)	236,084	196,397
Auditors' remuneration - Company	1,792	1,792
- subsidiaries	438	648
Gain on disposal of property, plant and equipment	-	(406)
	<u></u>	<u></u>

5 Net finance costs

Interest payable on:		
- Loans	91,469	5,263
- Bank overdrafts	24,461	15,532
- Corporate bond	67,469	15,123
	<u></u>	<u></u>

Total borrowing costs	183,399	35,918
Less: Amounts included in the cost of qualifying assets	(162,782)	(15,123)
	<u></u>	<u></u>

	20,617	20,795
Net foreign exchange losses	8,651	1,375
	<u></u>	<u></u>

6 Staff costs

Wages and salaries	228,036	190,490
Social security cost (NSSF)	2,232	3,791
Termination benefits	2,232	-
Leave pay	2,389	2,116
Other staff costs	1,195	-
	<u></u>	<u></u>

	236,084	196,397
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Executive directors' emoluments	50,809	27,792
	<u></u>	<u></u>

286,893 **224,189**

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NOTES TO THE FINANCIAL STATEMENTS - Continued

for the year ended 31 December 2006

		2006 Sh'000	2005 Sh'000
7	Taxation		
	(a) Taxation charge		
	Current taxation based on adjusted profit at 30%	-	54,828
	Deferred taxation charge		
	- current year	128,128	37,489
	- prior year	472	4,099
	Total deferred tax charge (note 18)	128,600	41,588
	Prior year over provision corporate tax	(5,289)	-
		<u>123,311</u>	<u>96,416</u>
	(b) Reconciliation of tax based on accounting profit to taxation charge		
	Accounting profit before taxation	<u>387,868</u>	<u>295,920</u>
	Tax at the applicable rate of 30%	116,361	88,776
	Tax effect of expenses not deductible for tax purposes	11,767	3,541
	Prior year under provision deferred tax	472	4,099
	Prior year over provision corporate tax	(5,289)	-
		<u>123,311</u>	<u>96,416</u>

No tax is payable on the results for the year as the Company has accumulated tax losses.

- 8 Profit attributable to shareholders**
The profit attributable to shareholders dealt with in the Company financial statements is Sh 260,885,000 (2005 Sh 202,148,000).

- 9 (a) Earnings per share**
Basic earnings per share has been calculated on the profit after taxation attributable to equity holders of the parent of Sh 257,062,000 (2005 Sh 195,124,000) divided by the number of ordinary shares in issue during the year of Sh. 93,000,000 (2005 93,000,000). Diluted earnings per share are the same as the basic earnings per share.

- (b) Dividends per share**
The directors propose the payment of a first and final dividend of Sh 1.00 (2005 Sh 0.75) per share totalling Sh93,000,000 in respect of the year ended 31 December 2006 (2005 Sh 69,750,000). This dividend is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

The dividend is payable subject to, where applicable, deduction of withholding tax as required under the Kenyan Income Tax Act, Chapter 470 Laws of Kenya.

NOTES TO THE FINANCIAL STATEMENTS - Continued

for the year ended 31 December 2006

10 (a) Property, plant and equipment-Group

	Freehold land and buildings Sh'000	Buildings on leasehold land Sh'000	Heavy commercial vehicles and quarrying equipment Sh'000	Computer hardware, plant, machinery, motor vehicles, furniture and fittings Sh'000	Capital work in progress Sh'000	Total Sh'000
COST OR VALUATION						
At 1 January 2005	80,723	188,647	200,416	1,113,124	258,566	1,841,476
Additions	9,087	597	63,327	13,339	894,954	981,304
Transfers	-	-	-	144,771	(144,771)	-
Disposals	-	-	(250)	(3,966)	-	(4,216)
Translation loss	(5,801)	(748)	(39,857)	(5,826)	(440)	(52,672)
At 31 December 2005	84,009	188,496	223,636	1,261,442	1,008,309	2,765,892
At 1 January 2006	84,009	188,496	223,636	1,261,442	1,008,309	2,765,892
Additions	4,997	27	47,100	20,763	1,071,008	1,143,896
Transfers	-	-	-	2,012,223	(2,012,223)	-
Disposals	-	-	-	(6,001)	-	(6,001)
Translation loss	-	(548)	(484)	(17,198)	(4,270)	(22,500)
At 31 December 2006	89,006	187,975	270,252	3,271,229	62,824	3,881,287
Comprising						
At cost	38,073	30,583	252,244	3,141,174	62,824	3,524,899
At valuation 1992	-	-	18,008	18,819	-	36,827
At valuation 1994	-	-	-	111,236	-	111,236
At valuation 1996	50,933	157,392	-	-	-	208,325
	89,006	187,975	270,252	3,271,229	62,824	3,881,287
DEPRECIATION						
At 1 January 2005	8,379	32,667	111,185	355,964	-	508,195
Charge for the year	-	4,546	18,171	69,515	-	92,232
Eliminated on disposal	-	-	(156)	(52)	-	(208)
Translation loss	-	(36)	(235)	(3,041)	-	(3,312)
31 December 2005	8,379	37,177	128,965	422,386	-	596,907
At 1 January 2006	8,379	37,177	128,965	422,386	-	596,907
Charge for the year	-	4,738	23,178	81,203	-	109,119
Eliminated on disposal	-	-	-	(4,666)	-	(4,666)
Translation loss	-	(25)	107	(5,543)	-	(5,860)
31 December 2006	8,379	41,890	152,250	493,380	-	695,900
NET BOOK VALUE						
At 31 December 2006	80,627	146,085	118,002	2,777,849	62,824	3,185,387
At 31 December 2005	81,431	152,031	134,293	841,841	959,389	2,168,985
NET BOOK VALUE - HISTORICAL COST						
At 31 December 2006	66,607	104,694	118,002	2,777,849	62,824	3,129,976
At 31 December 2005	61,610	113,967	134,293	841,841	959,389	2,111,100

Freehold land and buildings with a net book value of Sh 226,712,000 (2005 - Sh 233,462,000) have been charged to secure banking facilities granted to the Company as disclosed in note 17. Included above are assets with a total cost of Sh 75,994,000 (2005 - Sh 43,816,000) which were fully depreciated as at 31 December 2006. The normal depreciation charge would have been Sh 7,059,000 (2005 - Sh 4,517,000).

NOTES TO THE FINANCIAL STATEMENTS - Continued

for the year ended 31 December 2006

10 (b) Property, plant and equipment - Company

	Freehold land and buildings Sh'000	Buildings on leasehold land Sh'000	Heavy commercial vehicles and quarrying equipment Sh'000	Computer hardware, plant, machinery, motor vehicles, furniture and fittings Sh'000	Capital work in progress Sh'000	Total Sh'000
COST OR VALUATION						
At 1 January 2005	76,360	179,101	193,714	843,828	260,481	1,553,484
Additions	9,087	330	59,361	6,453	871,790	947,021
Transfers	-	-	-	144,771	(144,771)	-
Disposals	-	-	(250)	-	-	(250)
At 31 December 2005	85,447	179,431	252,825	995,052	987,500	2,500,255
At 1 January 2006	85,447	179,431	252,825	995,052	987,500	2,500,255
Additions	4,997	27	47,100	16,783	1,051,130	1,120,037
Transfers	-	-	-	2,016,952	(2,016,952)	-
Disposals	-	-	-	(4,011)	-	(4,011)
At 31 December 2006	90,444	179,458	299,925	3,024,776	21,678	3,616,281
Comprising						
At cost	39,511	22,066	281,917	2,894,721	21,678	3,259,893
At valuation 1992	-	-	18,008	18,819	-	36,827
At valuation 1994	-	-	-	111,236	-	111,236
At valuation 1996	50,933	157,392	-	-	-	208,325
	90,444	179,458	299,925	3,024,776	21,678	3,616,281
DEPRECIATION						
At 1 January 2005	8,379	32,457	107,259	337,267	-	485,362
Charge for the year	-	4,546	17,436	50,118	-	72,100
Eliminated on disposal	-	-	(156)	-	-	(156)
31 December 2005	8,379	37,003	124,539	387,385	-	557,306
At 1 January 2006	8,379	37,003	124,539	387,385	-	557,306
Charge for the year	-	4,546	22,501	64,153	-	91,200
Eliminated on disposal	-	-	-	(4,011)	-	(4,011)
31 December 2006	8,379	41,549	147,040	447,527	-	644,495
NET BOOK VALUE						
At 31 December 2006	82,065	137,909	152,885	2,577,249	21,678	2,971,786
At 31 December 2005	77,068	142,428	128,286	607,667	987,500	1,942,949
NET BOOK VALUE - HISTORICAL COST						
At 31 December 2006	62,244	102,319	152,885	2,577,249	21,678	2,916,375
At 31 December 2005	57,247	104,364	128,286	607,667	987,500	1,885,064

Freehold land and buildings with a net book value of Sh 219,496,000 (2005 Sh 219,974,000) have been charged to secure banking facilities granted to the Company as disclosed in note 17.

Included above are assets with a total cost of Sh 75,994,000 (2005 Sh 43,816,000) which were fully depreciated as at 31 December 2006. The normal depreciation charge would have been Sh 7,059,000 (2005 - Sh 4,517,000).

NOTES TO THE FINANCIAL STATEMENTS - Continued

for the year ended 31 December 2006

11 Operating lease prepayments

	Group Sh'000	Company Sh'000
COST		
At 1 January 2005	9,707	2,707
Additions	3,537	-
At 1 January 2006	13,244	2,707
Exchange adjustment	(237)	-
At 31 December 2006	13,007	2,707
AMORTISATION		
At 1 January 2005	359	359
Charge for the year	243	67
At 1 January 2006	602	426
Charge for the year	278	68
At 31 December 2006	880	494
NET BOOK VALUE		
At 31 December 2006	12,127	2,213
At 31 December 2005	12,642	2,281

12 Investment in subsidiaries

	2006 Sh'000	2005 Sh'000
ARM (Tanzania) Limited (2,010 shares of Tsh 100,000 each)	102,939	102,939
ARMSA (Pty) Limited (100 A type shares of R1 each)	33,014	33,014
Mavuno Fertilizer Limited (100 shares of Sh 1,000 each)	7,259	7,259
	143,212	143,212

The details of the above subsidiary companies are as follows:

Company	Percentage holding	Country of incorporation and domicile	Principal activity
ARM (Tanzania) Limited	67%	Tanzania	Extraction and processing of limestone
ARMSA (Pty) Limited	100%	South Africa	Manufacture of Sodium Silicates
Mavuno Fertilizer Limited	100%	Kenya	Not operational

ARM (Zambia) Limited and ARM (Botswana) Ltd both wholly owned subsidiaries, were not consolidated into the group as they were not operational in the year.

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NOTES TO THE FINANCIAL STATEMENTS - Continued

For The Year Ended 31 December 2006

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
13 Inventories				
Raw materials	164,418	120,978	150,492	112,942
Work in progress	48,360	50,467	38,417	5,561
Finished goods	44,770	75,179	40,664	56,388
Stores, spares and laboratory inventories	35,560	34,642	32,739	30,829
Goods in transit	16,499	-	16,499	-
	<u>309,607</u>	<u>281,266</u>	<u>278,811</u>	<u>205,720</u>
14 Trade and other receivables				
Trade receivables	446,400	367,414	348,987	302,374
Other receivables and prepayments	189,280	106,170	172,997	97,135
	<u>635,680</u>	<u>473,584</u>	<u>521,984</u>	<u>399,509</u>
15 Share capital - Group and Company				
		2006 Sh'000	2005 Sh'000	
Authorised: 110,000,000 ordinary shares of Sh 5 each		<u>550,000</u>	<u>550,000</u>	
Issued and fully paid: 93,000,000 ordinary shares of Sh 5 each		<u>465,000</u>	<u>465,000</u>	
16 Minority interest - Group				
At 1 January		47,750	53,039	
Share of profit for the year		7,495	4,380	
Translation loss		(5,529)	(9,669)	
		<u>49,716</u>	<u>47,750</u>	
At 31 December				

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NOTES TO THE FINANCIAL STATEMENTS - Continued

For The Year Ended 31 December 2006

17 (a) Borrowings - Group

	2006 Sh'000	2005 Sh'000
Bank overdrafts	258,540	60,569
Bank loans	850,773	503,157
Corporate bond	811,028	815,123
	<u>1,920,341</u>	<u>1,378,849</u>
The borrowings are repayable as follows:		
On demand or within one year	510,827	90,018
In the second year	1,798	26,655
After 2 years but within 5 years	1,267,670	1,016,201
After 5 years	140,046	245,975
	<u>1,920,341</u>	<u>1,378,849</u>
Less: amount due for settlement within one year	510,827	90,018
Amount due for settlement after one year	<u>1,409,514</u>	<u>1,288,831</u>

	Borrowings in US\$	Kshs equivalent Sh'000	Borrowings in local currency Sh'000	Total borrowings Sh'000
2006				
Bank overdrafts	408	29	258,511	258,540
Bank loans	7,775,300	545,773	305,000	850,773
Corporate bond	-	-	811,028	811,028
	<u>7,775,708</u>	<u>545,802</u>	<u>1,374,539</u>	<u>1,920,341</u>
At 31 December 2006				
2005				
Bank overdrafts	-	-	60,569	60,569
Bank loans	1,236,875	89,633	413,524	503,157
Corporate bond	-	-	815,123	815,123
	<u>1,236,875</u>	<u>89,633</u>	<u>1,289,216</u>	<u>1,378,849</u>
At 31 December 2005				

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NOTES TO THE FINANCIAL STATEMENTS - Continued

For The Year Ended 31 December 2006

17 (a) Borrowings – Group (Continued)

	2006 %	2005 %
The average interest rates were as follows:		
Bank overdrafts	13.75	13.50
Bank loans (Sh)	11.09	13.50
Bank loans (US \$)	9.44	9.23
Commercial paper	-	8.95
Corporate bond	10.00	10.00

Details of securities

The general short term banking, letters of credit and foreign currency facilities with Stanbic Bank Kenya Limited are secured by first ranking debenture over all the Company's assets for Sh 225,000,000 and a first legal charge for Sh 225,000,000 over the Company's freehold and leasehold properties ranking pari passu to the legal charges of Barclays Bank of Kenya Limited and Bank of Africa Kenya Limited.

The overdraft facility and letters of credit with Bank of Africa Kenya Limited are secured by a pari passu debenture for Sh 120,000,000 over all the assets of the Company.

The overdraft and loan facilities with Barclays Bank of Kenya Limited are secured by a legal charge over certain properties and a debenture of Sh 264,000,000 over all the assets of the group.

The long term loan of US \$ 1,000,000 is secured by a first ranking legal mortgage on the ARM (Tanzania) Limited assets located on plot No. 1 Industrial Area –Maweni Tanga Municipality and a first ranking floating debenture on the Company's assets present and future.

The loan from East African Development Bank Limited is secured by a bank guarantee from Bank of Africa Kenya Limited.

The corporate bond is unsecured and matures in 2010.

17 (b) Borrowings - Company

	2006 Sh'000	2005 Sh'000
Bank overdrafts	242,050	60,262
Bank loans	724,240	419,987
Corporate bond	811,028	815,123
	<u>1,777,318</u>	<u>1,295,372</u>

The borrowings are repayable as follows:

On demand or within one year	479,876	85,389
In the second year	1,798	12,329
After 2 years and within 5 years	1,155,598	951,679
After 5 years	140,046	245,975

	<u>1,777,318</u>	<u>1,295,372</u>
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Less: amount due for settlement within one year	479,876	85,389
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Amount due for settlement after one year	<u>1,297,442</u>	<u>1,209,983</u>
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NOTES TO THE FINANCIAL STATEMENTS - Continued

For The Year Ended 31 December 2006

17 (b) Borrowings –Company (Continued)

Analysis of borrowings by currency

	Borrowings in US\$	Kshs equivalent Sh'000	Borrowings in local currency Sh'000	Total borrowings Sh'000
2006				
Bank overdrafts	408	29	242,021	242,050
Bank loans	6,025,300	419,240	305,000	724,240
Corporate bond	-	-	811,028	811,028
At 31 December 2006	6,025,708	419,269	1,358,049	1,777,318
2005				
Bank overdrafts	-	-	60,262	60,262
Bank loans	286,875	20,789	399,198	419,987
Corporate bond	-	-	815,123	815,123
At 31 December 2005	286,875	20,789	1,274,583	1,295,372
The average interest rates were as follows:			2006 %	2005 %
Bank overdrafts			13.75	13.50
Bank loans (Sh)			11.09	13.50
Bank loans (US\$)			9.44	9.23
Corporate bond			10.00	10.00

Details of securities

The general short term banking, letters of credit and foreign currency facilities with Stanbic Bank Kenya Limited are secured by a first ranking debenture over all the Company's assets for Sh 225,000,000 and a first legal charge for Sh 225,000,000 over the Company's freehold and leasehold properties ranking pari passu to the legal charges of Barclays Bank of Kenya Limited and Bank of Africa Kenya Limited.

The overdraft facility, commercial paper, and letters of credit with Bank of Africa Kenya Limited are secured by a pari passu debenture for Sh 120,000,000 over all the assets of the Company.

The overdraft and loan facilities with Barclays Bank of Kenya Limited are secured by a legal charge over certain properties and a debenture of Sh 264,000,000 over all the assets of the group.

The loan from East African Development Bank Limited is secured by a bank guarantee from Bank of Africa Kenya Limited.

The corporate bond is unsecured and matures in 2010.

The Company had outstanding letters of credit amounting to Sh 67,513,000.

NOTES TO THE FINANCIAL STATEMENTS - Continued

For The Year Ended 31 December 2006

18 Deferred income tax

Deferred income tax is calculated on all temporary differences under the liability method using the currently enacted tax rate of 30%.

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
The net deferred taxation liability is attributable to the following items:				
Liabilities:				
Accelerated capital allowances	816,749	270,314	779,690	184,094
Revaluation surplus	16,623	17,365	16,623	17,365
	<u>833,372</u>	<u>287,679</u>	<u>796,313</u>	<u>201,459</u>
Assets:				
Leave pay provision	(968)	(629)	(968)	(560)
Unrealised gains	(3,953)	(3,371)	(1,759)	(1,301)
Tax losses available for future offset	(492,207)	(81,716)	(478,083)	-
	<u>(497,128)</u>	<u>(85,716)</u>	<u>(480,810)</u>	<u>(1,861)</u>
Net deferred tax liability	<u>336,244</u>	<u>201,963</u>	<u>315,503</u>	<u>199,598</u>

The movement on the deferred tax account is as follows:

At 1 January	201,963	160,375	199,598	160,079
Income statement charge - note 7(a)				
- current year	128,128	37,489	115,433	39,519
- prior year	472	4,099	472	-
Exchange adjustment	5,681	-	-	-
	<u>336,244</u>	<u>201,963</u>	<u>315,503</u>	<u>199,598</u>
At 31 December	<u>336,244</u>	<u>201,963</u>	<u>315,503</u>	<u>199,598</u>

Tax losses available for future offset are as a result of the group's heavy investment in plant and machinery which attract high investment deductions resulting in adjusted tax losses.

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NOTES TO THE FINANCIAL STATEMENTS - Continued

For The Year Ended 31 December 2006

19 (a) Finance leases - Group

	Minimum lease payments		Present value of minimum payments	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
Amounts payable under finance leases				
Within one year	31,481	15,706	24,822	12,389
In the second to fifth years inclusive	58,673	19,988	52,380	17,436
Less: Future finance charges	90,154 (12,952)	35,694 (5,869)	77,202 -	29,825 -
Present value of lease obligations	77,202	29,825	77,202	29,825
Less: Amount due for settlement within 12 months			(24,822)	(12,389)
Amounts due for settlement after 12 months			52,380	17,436

(b) Finance leases - Company

	Minimum lease payments		Present value of minimum payments	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
Amounts payable under finance leases				
Within one year	31,089	15,706	24,430	12,389
In the second to fifth years inclusive	58,075	19,988	51,782	17,436
Less: Future finance charges	89,164 (12,952)	35,694 (5,869)	76,212 -	29,825 -
Present value of lease obligations	76,212	29,825	76,212	29,825
Less: Amount due for settlement within 12 months			(24,430)	(12,389)
Amounts due for settlement after 12 months			51,782	17,436

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NOTES TO THE FINANCIAL STATEMENTS - Continued

For The Year Ended 31 December 2006

19 (b) Finance leases (continued)

Analysis by cash flows:

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
At the beginning of the year	29,825	19,152	29,825	16,042
New financing received	65,264	23,650	58,778	23,650
Finance leases repaid in the year	(17,887)	(12,977)	(12,391)	(9,867)
At 31 December	77,202	29,825	76,212	29,825

It is the group's policy to lease some of its motor vehicles under finance leases. The average lease term is 4 years. The weighted average rate of interest on the obligation under hire purchase agreements as at 31 December 2006 was 9% (2005: 9.7%). Interest rates are fixed at the contract date. All leases are on a fixed repayment basis and no arrangements have been entered into for contingent rental payments.

The carrying value of the Company's lease obligations approximates their fair values.

The Company's obligations under the finance leases are secured by the lessor's charges over the leased assets.

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
Trade payables [note 22(c)]	359,680	338,030	349,906	302,667
Other payables and accruals	174,635	48,643	159,813	52,087
Leave pay provision	3,225	2,096	3,225	1,866
	537,540	388,769	512,944	356,620

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NOTES TO THE FINANCIAL STATEMENTS - Continued

For The Year Ended 31 December 2006

	2006 Sh'000	2005 Sh'000
21 Notes to the cash flow statement		
(a) Reconciliation of operating profit to cash generated from operations:		
Operating profit	417,136	318,090
Adjustments:		
Depreciation	109,119	92,232
Amortisation	278	243
Gain on disposal of property, plant and equipment	-	(3,602)
Realised exchange gains/(losses)	-	(1,554)
Effects of exchange rate changes	(39,481)	36,932
Operating profit before working capital changes	487,052	442,341
(Increase)/ decrease in inventories	(28,341)	42,203
Increase in trade and other receivables	(162,096)	(125,363)
Increase/ (decrease) in trade and other payables	148,771	(33,002)
Increase in unclaimed dividends	1,504	-
Increase in amounts due to related parties	5,336	-
Cash generated from operations	452,226	326,179
(b) Analysis of additions to property, plant and equipment		
Additions in the year [note 10(a)]	1,143,896	981,304
Less:		
Acquisitions through finance leases (note 19)	(65,264)	(23,650)
Interest capitalised	(162,782)	-
Acquisition by cash	915,850	957,654
(c) Analysis of cash flow by loans and corporate bond		
At 1 January	1,318,280	219,771
Repayment	(40,668)	(160,026)
Received	403,289	1,251,438
Accrued interest on corporate bond	11,028	15,123
Exchange adjustment	(30,128)	(8,026)
	1,661,801	1,318,280
(d) Analysis of cash and cash equivalents		
Cash and bank balances	111,377	302,187
Bank overdrafts	(258,540)	(60,569)
	(147,163)	241,618

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NOTES TO THE FINANCIAL STATEMENTS - Continued

For The Year Ended 31 December 2006

22 Related party transactions and balances

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

(a) Transactions

During the year the Company entered into the following transactions with related parties:

	2006 Sh'000	2005 Sh'000
Purchases	213,535	289,450

The purchases relate to raw material purchases from Bamburi Cement Limited. Bamburi Cement Limited is both a shareholder and a director of the Company (note 20).

	2006 Sh'000	2005 Sh'000
Sales		
ARM (Tanzania) Limited	22,407	19,491
ARMSA (Pty) Limited	97,814	99,906
	<u>120,221</u>	<u>119,397</u>

Outstanding balances arising from sale and purchase of goods and services:

(b) Due from related parties - Company

ARM (Tanzania) Limited	-	43,195
ARMSA (Pty) Limited	83,018	66,297
Mavuno Fertilizer Limited	95	-
	<u>83,113</u>	<u>109,492</u>

(c) Due to related parties - group

Due to directors	<u>6,452</u>	<u>1,116</u>
Bamburi Cement Limited	<u>48,007</u>	<u>54,649</u>
Cement Distributors Limited	<u>326</u>	<u>(3,015)</u>

The outstanding balances at year end due to Bamburi Cement Limited and Cement Distributors Limited are included under trade and other payables and trade receivables in the group.

NOTES TO THE FINANCIAL STATEMENTS - Continued

For The Year Ended 31 December 2006

22 Related party transactions and balances (continued)

	2006 Sh'000	2005 Sh'000
(d) Due to related parties – Company		
ARM (Tanzania) Limited	33,386	-
Due to directors	5,053	1,112
	<u>38,439</u>	<u>1,112</u>
 Bamburi Cement Limited	 48,007	 54,649

The outstanding balance at year end due to Bamburi Cement Limited is included under trade and other payables in both the group and the Company (note 20)

(e) Key management compensation

The remuneration of directors and other members of key management during the year were as follows:

	2006 Sh'000	2005 Sh'000
Salaries and other benefits	<u>91,249</u>	<u>71,265</u>
(f) Directors' remuneration		
Fees for services as directors	2,390	3,336
Other emoluments (included in key management compensation above)	50,809	27,792
	<u>53,199</u>	<u>31,128</u>
23 Capital commitments		
Authorised and contracted for	<u>62,824</u>	<u>365,000</u>
Authorised but not contracted for	<u>300,000</u>	<u>158,000</u>

24 Contingent liabilities

Guarantees	<u>23,412</u>	<u>38,028</u>
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25 Incorporation

The Company is domiciled and incorporated in Kenya under the Companies Act.

26 Currency

The financial statements are presented in Kenya Shillings thousands (Sh'000).

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SHAREHOLDERS' INFORMATION

The ten largest shareholdings in the Company and the respective number of shares held at 31 December 2006 are as follows:

Name of shareholder	Number of shares	% Shareholding
1. Pradeep Harjivandas Paunrana	44,731,049	48.10
2. Bamburi Cement Limited	13,968,300	15.02
3. Orthodox Archbishopric of Kenya & Irinoupolis	1,852,200	1.99
4. Insurance Company of East Africa	1,108,280	1.19
5. Wilfred Murungi	1,058,400	1.14
6. Alan Pickering	1,000,000	1.08
7. Board of Trustees - National Social Security Fund	870,000	0.94
8. Mrs. Anjana Pradeep Paunrana	756,049	0.81
9. Barnard Nominees Limited A/c 02231	700,000	0.75
10. Barclays Kenya Nominees Ltd. Non resident 9190	561,200	0.60
11. Others	26,394,522	28.28
Total	93,000,000	100.00

Distribution of shareholders as at 31 December 2006

Number of shares	Number of shareholders	Number of shares	% Shareholding
Less than 500	2,802	724,784	0.78
501-5,000	5,197	8,260,719	8.89
5,001-10,000	370	2,763,816	2.97
10,001 - 100,000	305	7,997,156	8.60
100,001-1,000,000	40	10,535,296	11.32
Over 1,000,000	6	62,718,229	67.44
Total	8,720	93,000,000	100.00

PROXY FORM

I / We _____
 of _____
 being a member(s) of the above named Company, hereby appoint: _____
 of _____
 or failing him / her _____
 of _____
 as my / our proxy to vote for me / us and on my / our behalf at the Annual General Meetings of the
 Company to be held on the 12th June 2007 and at any adjournment thereof.

Number of shares held _____

Account number of member _____

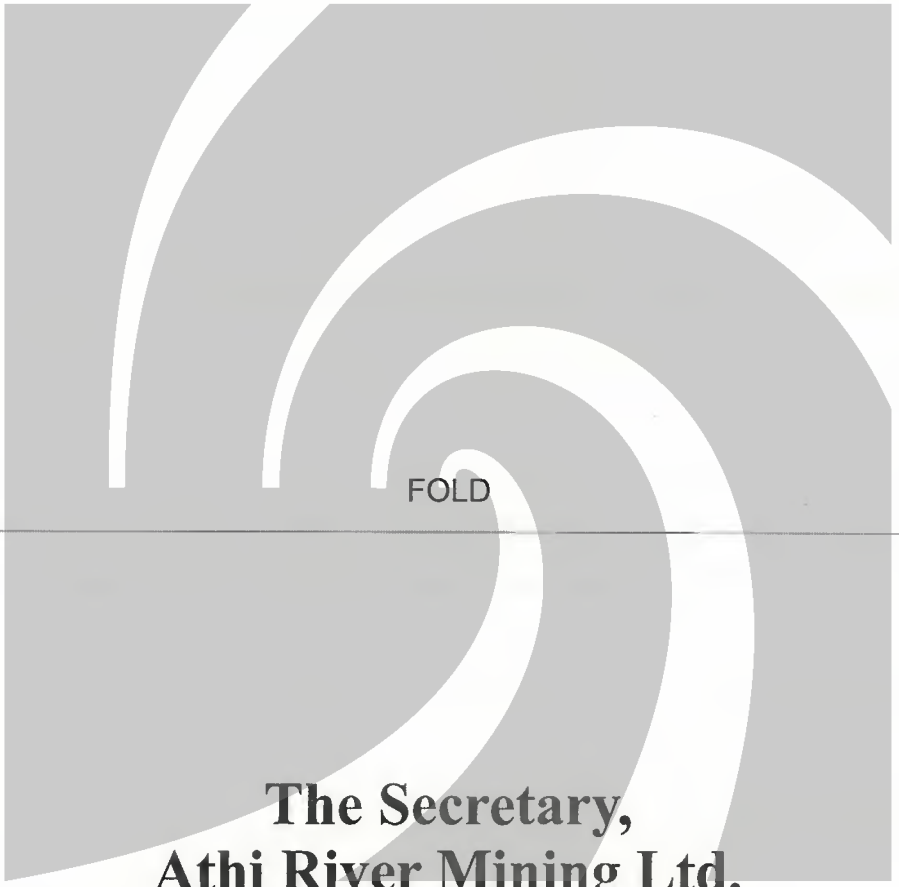
As witness my / our hand this _____ day of _____ 2007

Signed _____

Note:

1. A member entitled to attend and vote at the meeting is entitled to appoint one or more proxies to attend and vote in his stead.
 A proxy need not be a member of the Company.
2. In case of a member being a corporation, this form must be completed either under its common seal, or under the hand of an officer or duly authorized attorney.
3. To be valid, the proxy form must be deposited at the registered office of the Company not less than 48 hours before the time fixed for the meeting.
4. If you wish you may appoint the chairman of the meetings as your proxy.

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**The Secretary,
Athi River Mining Ltd.
P.O. Box 41908 - 00100 GPO
Nairobi, Kenya.**

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